derives utility from a knife using which he cuts some vegetables; and, a killer wants to stab his enemy by that knife. In Economics, a commodity has utility, if it satisfies a human want;

### c. Types of Utility

The following are the types of utility

1. **Form Utility:** An individual consumer obtains utility from a good or service only when it is available in a particular form. Raw materials in their original form may not possess utility for a consumer. But in their changed forms as they become finished products, they provide utility to him. For example, cotton as a raw material may not possess utility for a consumer; but as it gets a new form as a cloth, it yields the consumer utility.
2. **Time Utility:** A sick man derives time utility from blood not at the time of its donation, but only at the operation-time, i.e., when it is used.
3. **Place Utility:** A student derives place utility from a book not at the place of its publication (production centre) but only at the place of his education (consumption centre).
4. **Service Utility:** An individual consumer derives service utility from a service made available at the time when he most needs it. For example, clients obtain service utility from their lawyers, patients derive service utility from the doctors and so on.
5. **Possession Utility:** When a student buys a book or dictionary from a book seller, then only it gives utility.
6. **Knowledge Utility:** It is the utility derived by having knowledge of a particular thing. Advertisement serves as a source of information on an object.

### d. Measurability of Utility

Wants of a person are satisfied by the act of consumption. The consumer derives utility, measured in terms of 'Utils'. An 'Util' is a unit of measurement of utility. An individual pays a price for the unit of the good, equal to the utility derived. Marshall states that utility can be measured indirectly using the 'measuring rod of money'.

## 1.5.3 Price

Price is the value of the good expressed in terms of money. Price of a good is fixed by the forces of demand for and supply of the good. Price determines what goods are to be produced and in what quantities. It also decides how the goods are to be produced.

## 1.5.4 Market

Generally, market means a place where commodities are bought and sold.

But, in Economics, it represents where buyers and sellers enter into an exchange of goods and services over a price.

## 1.5.5 Cost

Cost refers to the expenses incurred to produce or acquire a given quantum of a good. Together with revenue, it determines the profit gained or the loss incurred by a firm.



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